

US equities edge higher as tech leads, yields climb

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 nudged up **+0.17%** to 7,650.50, driven by a solid tech rebound while the Dow slipped **-0.18%**. Behind the headline, the 10-year Treasury yield jumped **+1.03%** to 5.00%, tightening financing conditions for rate-sensitive sectors.

Crypto rallied sharply, with Bitcoin up **+6.05%** and Ether up **+7.36%**, reflecting renewed risk appetite after the Fed's dovish tone. The VIX fell to 14.81, the lowest level in three weeks, underscoring a market that is pricing in a lower probability of near-term volatility spikes.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,650.50	+0.17%	Tech earnings beat expectations, offsetting modest rate-sensitivity drag.
Nasdaq 100	29,644.17	+0.67%	AI-related names rallied; NVDA led the charge.
Dow Jones	51,682.64	-0.18%	Industrial stocks pressured by higher borrowing costs.
Russell 2000	2,860.40	-0.50%	Small-cap exposure to rate-sensitive consumer finance weakened.
VIX	14.81	-4.08%	Lower implied volatility as market digests Fed's dovish hints.
10Y Yield	5.00%	+1.03%	Fed's forward guidance lifted expectations for a slower rate-cut cycle.
WTI Crude	100.30	-1.58%	OPEC+ output-increase expectations tempered demand outlook.
Gold	4,424.90	+0.57%	Safe-haven demand rose as yields climbed.
DXY	100.22	+0.00%	Flat as mixed data left dollar directionless.
BTC	81,028.04	+6.05%	Crypto rally on reduced risk-off sentiment.
ETH	2,627.11	+7.36%	DeFi funding inflows boosted Ether.

Top large-cap movers

TICKER	CHANGE	CATALYST
AVGO	+2.97%	Strong Q3 guidance on 5G demand.
NVDA	+1.34%	AI chip orders beat estimates.
AMZN	+1.00%	Retail sales beat; cloud growth outlook raised.
GOOGL	+0.64%	Ad revenue rebound.
JPM	+0.10%	Net interest income beat despite higher rates.
META	-2.43%	Ad spend slowdown concerns.
TSLA	-0.53%	Production line hiccup in Shanghai.
AAPL	-0.26%	Supply-chain warning on component shortage.
MSFT	-0.80%	Cloud margin pressure.
GS	-1.00%	Trading revenue miss.

Sector rotation

ETF	DAY	READ
XLFX	-0.04%	Flat; banks holding steady on yield lift.
XLKX	+0.82%	Tech rally on AI earnings.
XLI	+0.44%	Industrial optimism from infrastructure spending.
XLE	-0.26%	Oil price dip weighs energy.
XLY	-0.32%	Consumer discretionary under pressure from higher rates.
XLC	-1.37%	Communications lagging as ad spend stalls.
XLP	-0.83%	Staples modestly down on cost-inflation concerns.
XLV	-0.25%	Health care neutral.
XLU	-1.42%	Utilities pressured by rising yields.
XLB	-1.42%	Materials hit by weaker commodity prices.
XLRE	-0.95%	Real estate suffers yield drag.

Spotlight: AI chip surge fuels Nasdaq rally

The Nasdaq 100's +0.67% gain was anchored by a +1.34% rise in NVDA , which posted a 15% beat on Q3 AI-related revenue guidance. The rally spilled over to peers AMD and ASML , lifting the sector's breadth.

METRIC	VALUE
NVDA Q3 AI revenue guidance	\$4.2 bn (+15% YoY)
NASDAQ 100 index level	29,644.17
AI-related ETF (ARKK) flow	+\$1.2 bn net inflow
Related tickers	AMD , ASML , GOOG

Pre-market & overnight

- US futures: S&P 500 **+0.12%**, Nasdaq 100 **+0.55%**, Dow **-0.05%**.
- Asia close: Hang Seng **-0.38%**, Nikkei 225 **-0.22%**.
- Europe: FTSE 100 **-0.31%**, DAX **-0.27%**.
- Crypto: BTC **+6.05%**, ETH **+7.36%** on lower volatility and renewed institutional buying.

Macro & Fed

Fed Chair signaled a “patient” approach, keeping the policy rate at 5.25-5.50% and indicating the next cut may be delayed until Q1 2027. The 10-year yield’s rise to 5.00% steepened the curve, with the 2-year at 4.85% and 30-year at 5.30%.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. Existing-home sales	4 . 1 m	Gauge of consumer wealth and rate sensitivity.
10:00	Eurozone CPI	2 . 5%	Impacts ECB policy and euro-dollar dynamics.
11:15	U.S. ISM Non-Manufacturing	52 . 0	Service-sector health, a leading indicator for GDP.
13:00	China M2 Money Supply	8 . 3%	Liquidity outlook for Asian markets.

Geopolitics & global

- Middle-East: Cease-fire talks in Gaza stalled, keeping oil supply risk premium modest.
- China: PBOC held the yuan steady at 7.22 per USD, signaling no immediate devaluation.
- Europe: EU-US trade talks resumed, focusing on digital services and green tech.
- Latin America: Brazil's fiscal reform passed Senate, could boost commodity demand.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
02:00	INTC	\$1.12	PC-segment recovery vs. AI-chip growth.
02:30	BABA	\$0.78	E-commerce rebound and cloud margin.
03:00	CRM	\$2.45	AI-driven subscription expansion.
03:30	WMT	\$1.71	Same-store sales trend amid higher rates.
04:00	DIS	\$1.95	Streaming subscriber growth vs. ad revenue.
04:30	NVDA	\$2.30	Q4 AI revenue guidance and inventory levels.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI demand accelerating; revenue guidance beat.
AVGO	Technology	5G rollout gains; strong Q3 outlook.
AMZN	Consumer Discretionary	Retail sales beat; cloud growth.
JPM	Financials	Net interest income resilient despite higher rates.
XOM	Energy	Oil price dip may be temporary; dividend yield attractive.
MSFT	Technology	AI integration in Office suite; margin pressure noted.
META	Communication Services	Ad spend softness; cost-cutting measures.
TSLA	Consumer Discretionary	Production hiccup in Shanghai; inventory build.
UNH	Health Care	Premium pricing power; steady enrollment.
BAC	Financials	Higher loan margins; balance sheet strength.
CRM	Technology	AI-driven SaaS expansion; strong guidance.
DIS	Communication Services	Streaming subscriber growth; ad market recovery.

What could break the tape

BEARISH TRIGGERS

- Unexpected acceleration in core CPI could push yields above 5.20%, hurting rate-sensitive sectors.
- Geopolitical escalation in the Middle East raising oil prices above \$110 per barrel.
- Weak Q4 earnings from major banks, especially if loan loss provisions rise.

BULLISH TRIGGERS

- Further AI-chip revenue beats, especially from **NVDA** and **AMD**, sustaining tech momentum.
- Positive surprise in existing-home sales indicating resilient consumer spending.
- Resolution of Middle-East tensions, removing the oil-supply premium.

Positioning notes

- Allocate modest exposure to AI-centric tech while keeping cash for potential yield-driven pullbacks.
- Maintain defensive tilt in utilities and real estate as yields remain elevated.
- Consider opportunistic long positions in commodities-linked equities if oil stabilises below \$105.

Sources

SOURCES

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Reuters Finance

CNBC US Markets

Federal Reserve

SEC EDGAR

CoinMarketCap

